Table 16.2 General Statistics

Description	Bull Market	Bear Market
Number found	1,013	217
Breakeven failure rate	27.3%	7.6%
Average decline after D	–13.0%	–20.2%
Volume trend	62% Downward	58% Downward
Performance Up/Down volume	–14% U, –12% D	–20% U, –21% D

Breakeven failure rate. The failure rate counts how many butterflies fail to see price drop more than 5% below the peak at D.

In bull markets, the breakeven failure rate is an impressive 27.3%. Wow. Compare that to the 7.6% rate for bear markets. I suggest you avoid trading this pattern in bull markets unless you have special sauce you can add to the stew to get this pattern to be more palatable to your portfolio.

Average decline. The numbers in the table say that for the best performance trading this pattern stick to bear markets. However, both bull and bear market numbers fall short of what non-Fibonacci patterns average.

Volume trend, performance. I used linear regression to determine the slope of volume and found it trends downward most often. The numbers are just above random. Even so, the performance benefit isn't much and you have to pay attention to the volume slope (upward in bull markets and downward in bear markets).

Trading Tactics

Some of the numbers already discussed compare the performance of the bearish butterfly with regular non-Fibonacci-based chart patterns. However, the focus for this pattern is really with the swing trader. They seek to short the stock at the end of the pattern (or sell a long holding). Here are some statistics that help define the performance at and after D.

Table 16.3 shows how price behaves after a bearish butterfly completes, using numbers, too! Isn't this exciting?